HOW DOES IT WORKS?

We select the time horizon that we are looking to invest for. Then we see different banks and companies that are offering fixed deposits for that time frame and then the one that offers the most attractive return is the one where we invest. However, an important factor to consider is the health of the bank/company with whom we are making the deposit.

CAN THE MONEY BE WITHDRAWN BEFORE MATURITY?

In most fixed deposits, money can be withdrawn before maturity. This is called premature withdrawal. Some companies charge a small penalty for this whereas others do not. So, fixed deposits are one of the most liquid forms of investments that can be converted to cash at very short notice.

WHO IS SUITABLE FOR THIS?

The primary purpose of fixed deposits is to maintain the purchasing power of money. This means that in the long term we can expect fixed deposit returns to be in line with the inflation rate (CPI Index). Secondly, it is a very liquid form of investment. So, a fixed deposit is a good asset class for emergency funds, short-term cash needs, or any major expense that is coming up within a time frame of less than one year. Fixed deposits are mainly for the stability and safety of capital and not the growth of capital. When investing with a time horizon of more than 5 years, fixed deposits is a complete NO since it does not grow capital. Also, for those who have high risk-taking ability, fixed deposits do not make a lot of sense.